

LECTURE

WHAT IS A PARETO CHART?

SECTION: CREATE A PARETO CHART ON CHATGPT & JULIUS AI



IN THIS LECTURE, YOU WILL LEARN

WHAT IS A PARETO CHART?

WHY IS IT IMPORTANT?

HOW IS THE PARETO CHART USED IN SIX SIGMA PROJECTS?

WHAT ARE THE COMPONENTS OF A PARETO CHART?

UNDERSTANDING THE DATA IN A PARETO CHART

CHAT GPT

WHAT IS A PARETO CHART?

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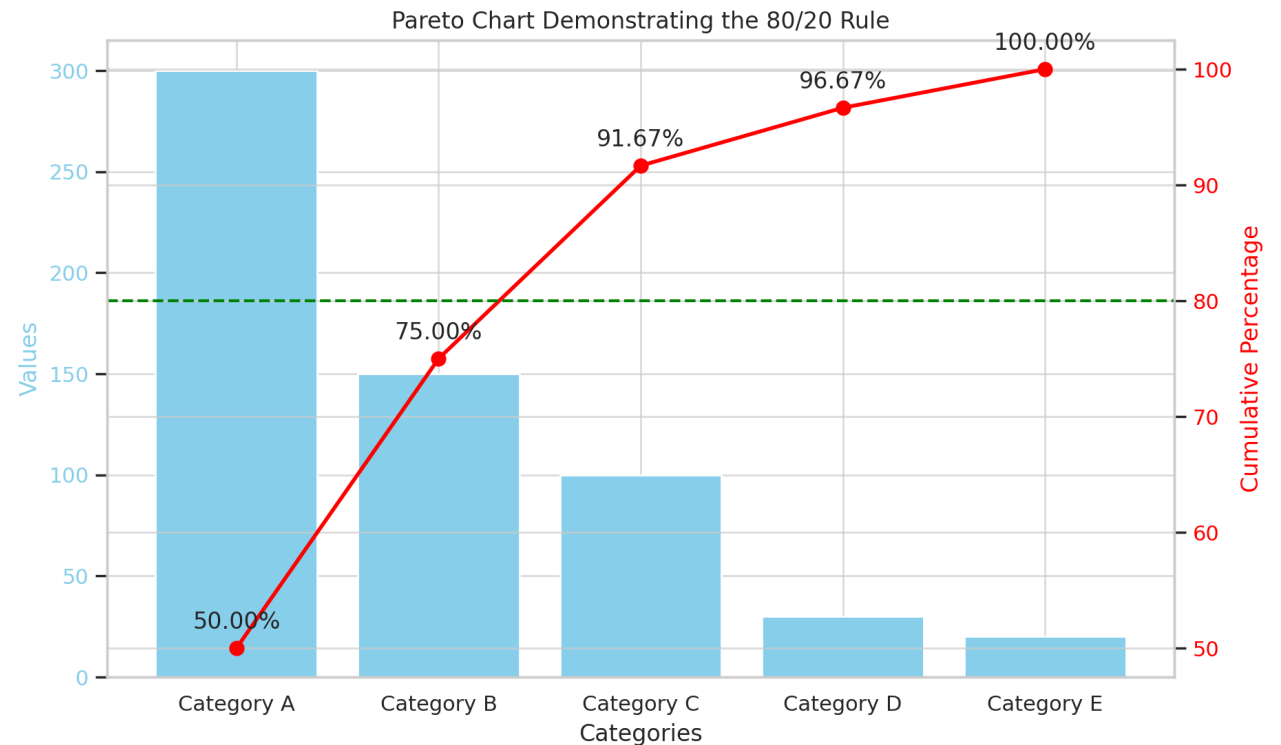
COMBINES BOTH BAR AND LINE GRAPHS

NAMED AFTER VILFREDO PARETO, AN ITALIAN ECONOMIST

80% OF EFFECTS COME FROM 20% OF CAUSES

ALSO REFERRED TO AS THE '80/20 RULE'

SHOWS INDIVIDUAL VALUES IN DESCENDING ORDER AS BARS AND THE CUMULATIVE TOTAL AS A LINE



CHAT GPT

WHY IS IT IMPORTANT?

WHY IS A PARETO CHART IMPORTANT?



TARGETING WHAT MATTERS MOST

- **ACTS LIKE A SPOTLIGHT, SHOWS YOU THE BIGGEST ISSUES**
- **HELPS YOU SEE WHAT NEEDS YOUR ATTENTION FIRST**
- **ENSURES YOU ADDRESS MOST IMPACTFUL PROBLEMS**



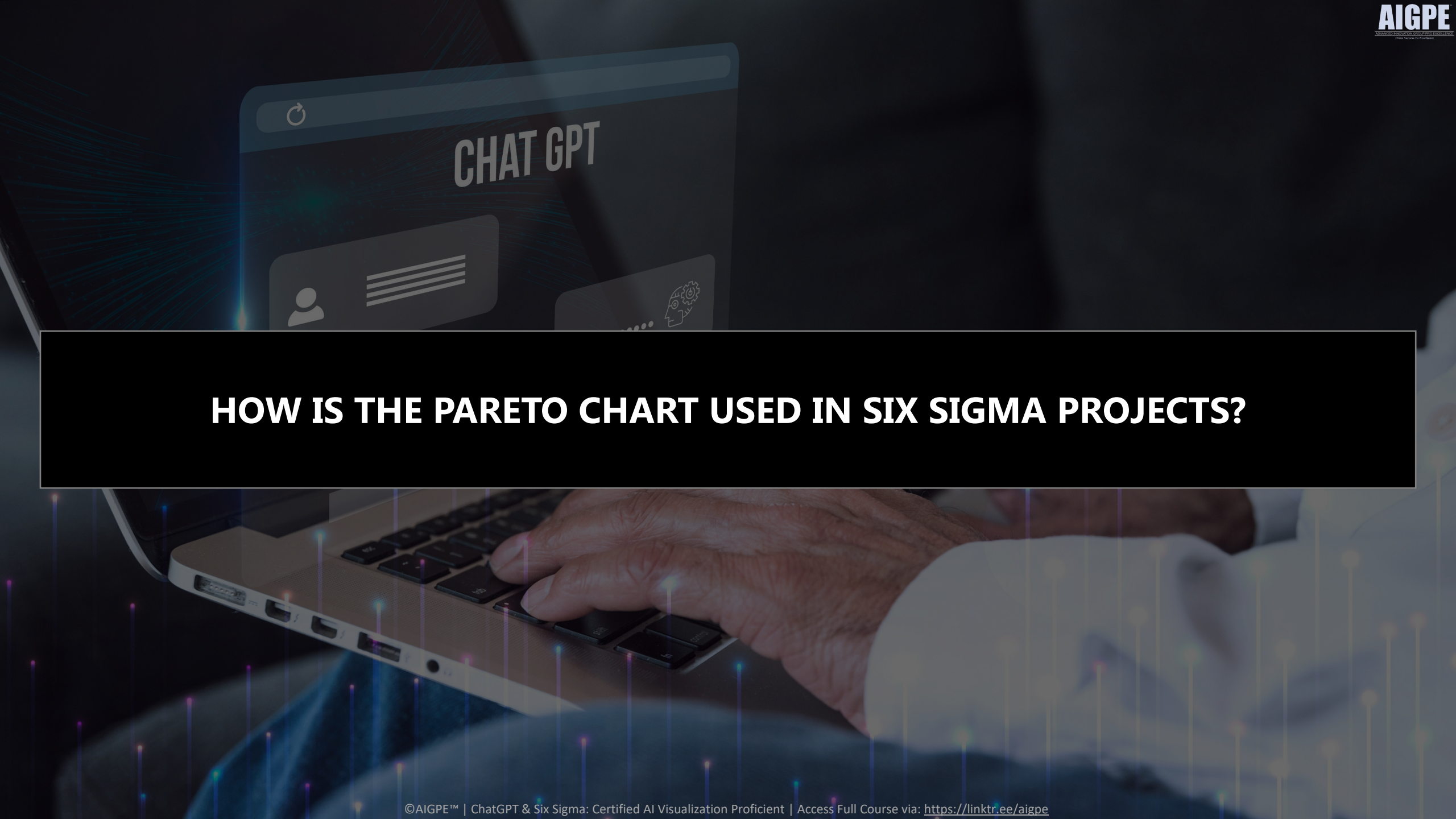
SMART USE OF RESOURCES

- **GUIDES WHERE YOU PUT YOUR TIME AND MONEY**
- **POINT OUT AREAS THAT WILL BENEFIT MOST**
- **YOU FOCUS ON WHAT WILL REALLY MAKE A DIFFERENCE**



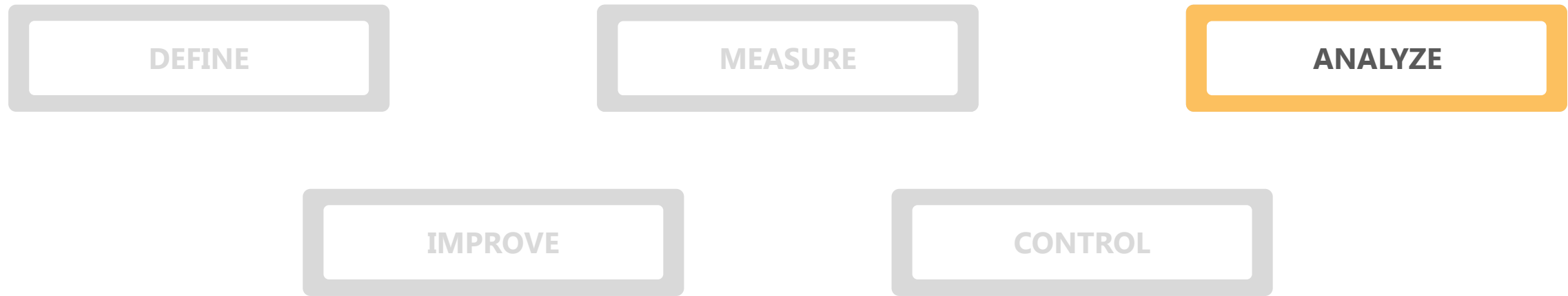
EFFECTIVE PROBLEM SOLVING

- **ARE LIKE A DETECTIVE'S TOOL FOR YOUR BUSINESS**
- **HELP YOU ZERO IN ON THE ISSUES YOU ARE FACING**
- **YOU CAN SOLVE PROBLEMS MORE EFFECTIVELY BY KNOWING WHAT TO TACKLE**

The background image shows a person's hand typing on a laptop keyboard. Overlaid on the laptop screen is a digital interface with the text 'CHAT GPT' and a chat bubble icon. The entire scene is set against a dark background with glowing blue and purple light trails and vertical lines, giving it a futuristic, high-tech feel.

HOW IS THE PARETO CHART USED IN SIX SIGMA PROJECTS?

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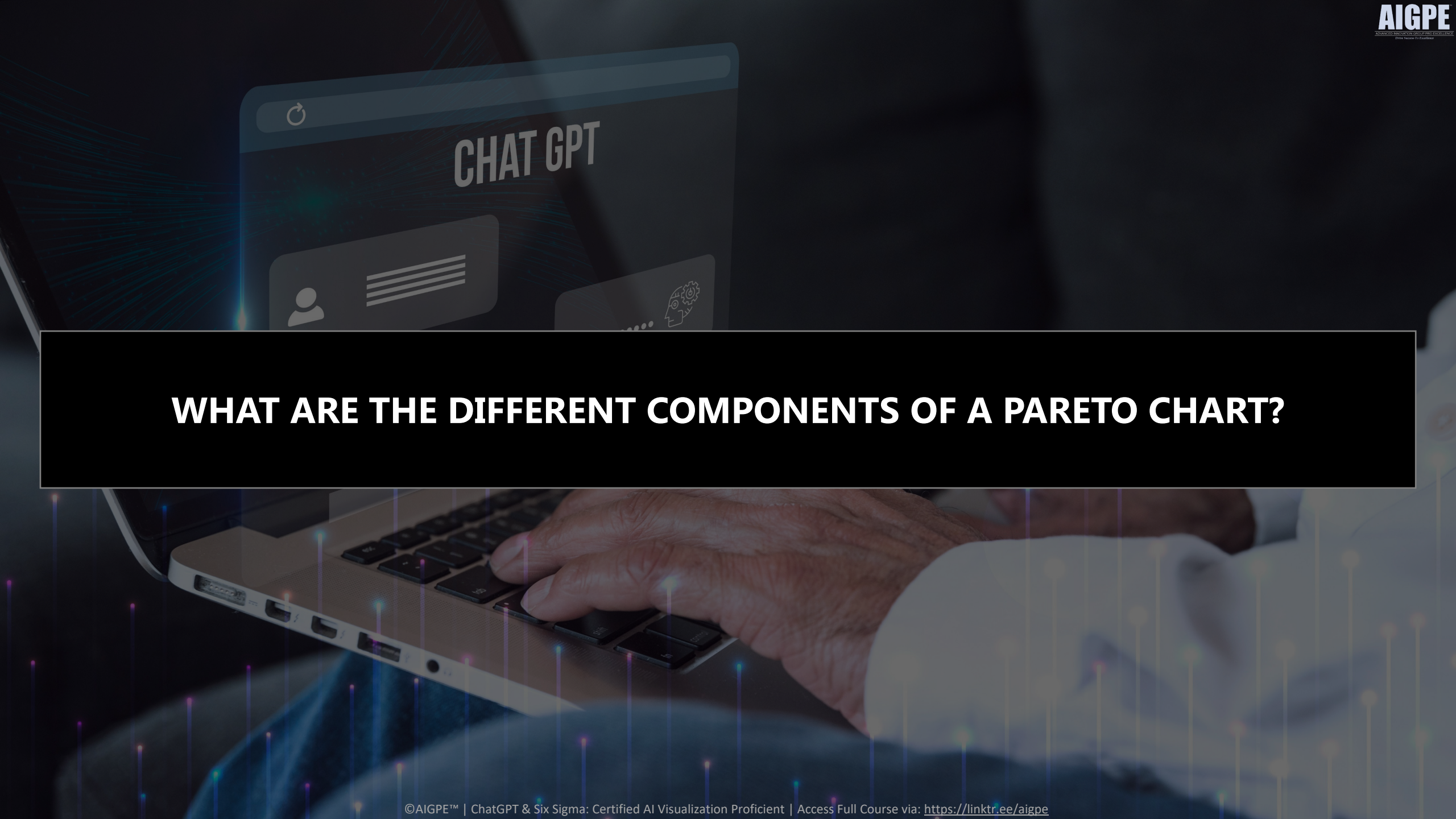


USED FOR IDENTIFYING & PRIORITIZING PROBLEM AREAS IN A PROCESS

HIGHLIGHTS MOST FREQUENT CAUSES OF DEFECTS OR MOST SIGNIFICANT SOURCES OF VARIATION

HELPS FOCUS IMPROVEMENT EFFORTS ON THE ISSUES THAT WILL HAVE THE GREATEST IMPACT ON QUALITY

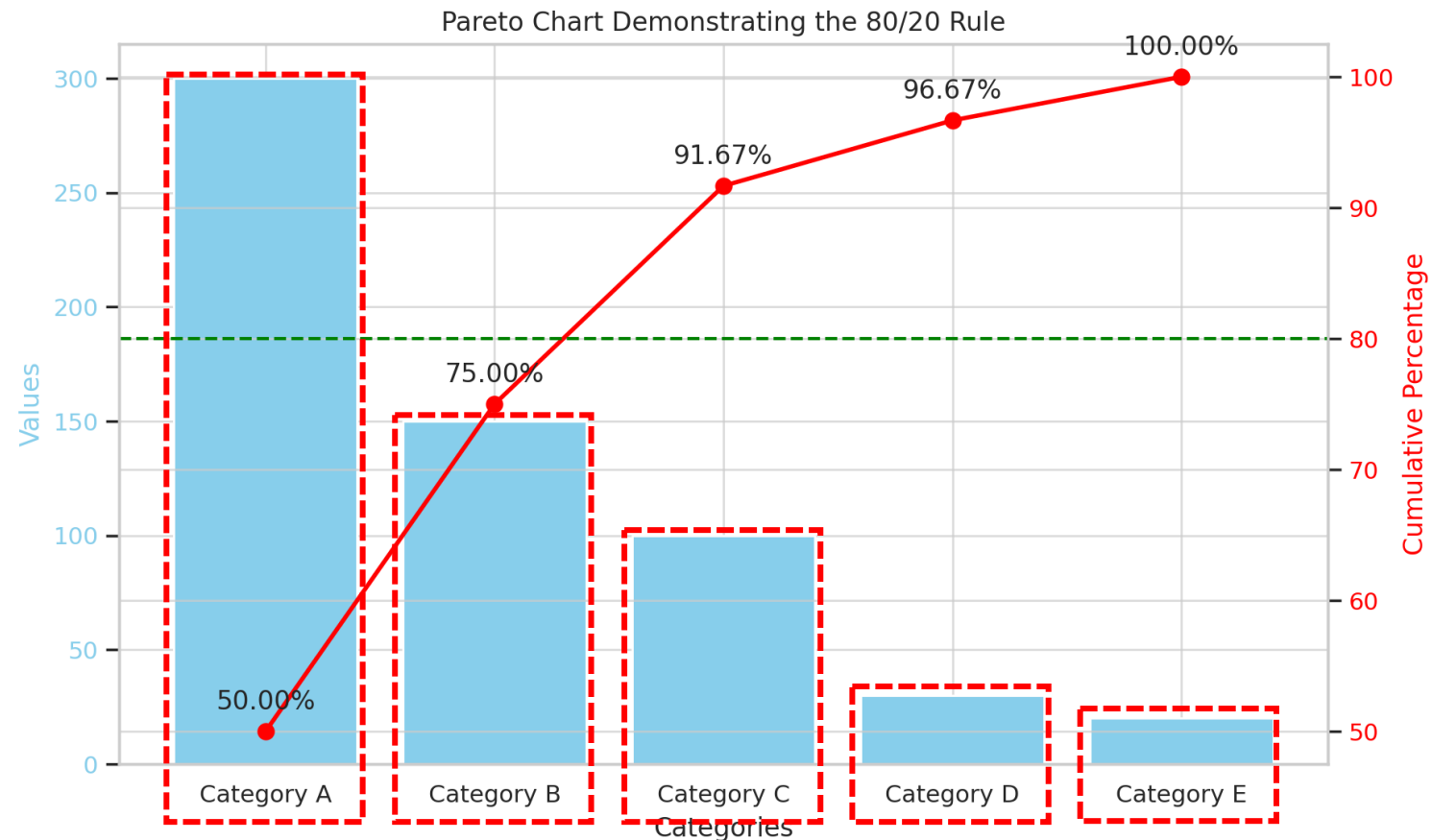
PROVIDES A CLEAR VISUAL REPRESENTATION OF THE PROBLEMS THAT NEED THE MOST IMMEDIATE ATTENTION & RESOURCES

The background image shows a person's hand typing on a laptop keyboard. Overlaid on the laptop screen is a semi-transparent interface with the text 'CHAT GPT' at the top. Below the text are two chat bubbles: one with a person icon and another with a gear icon. The entire scene is set against a dark background with glowing blue and purple light trails and vertical lines of light at the bottom.

WHAT ARE THE DIFFERENT COMPONENTS OF A PARETO CHART?

EACH BAR REPRESENTS A DIFFERENT FACTOR OR CAUSE

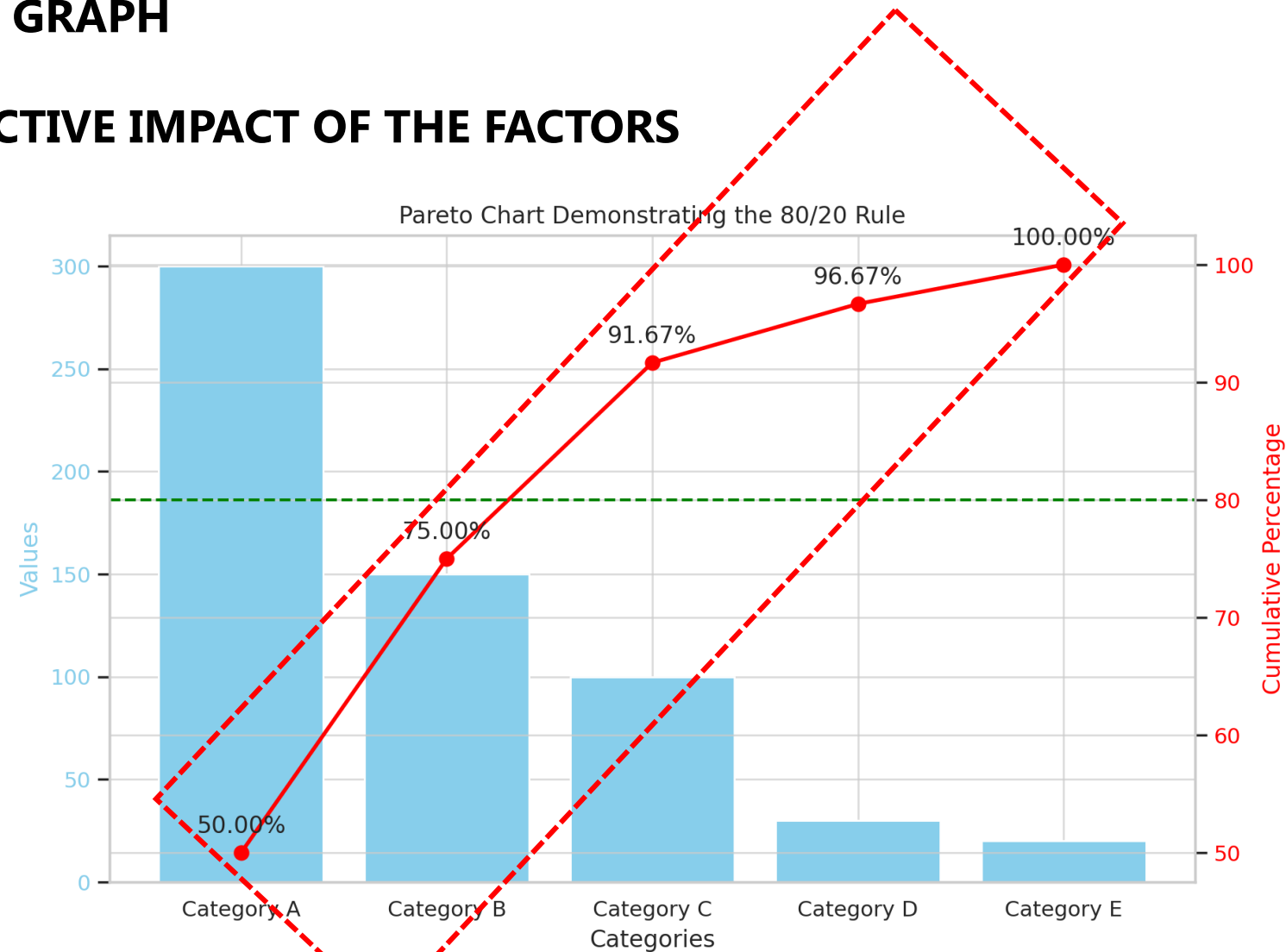
THE HEIGHT OF THE BAR INDICATES ITS FREQUENCY OR IMPACT

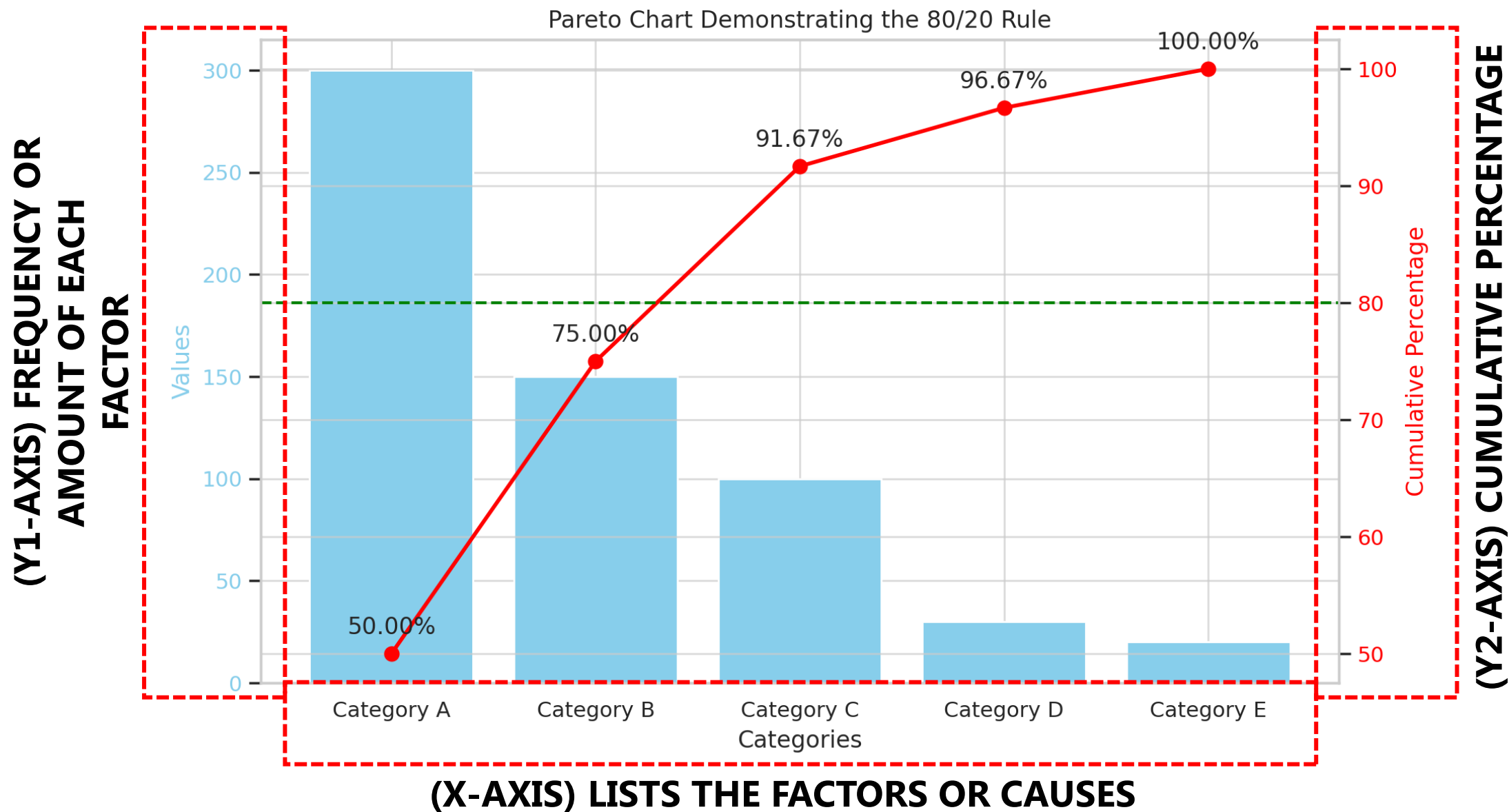


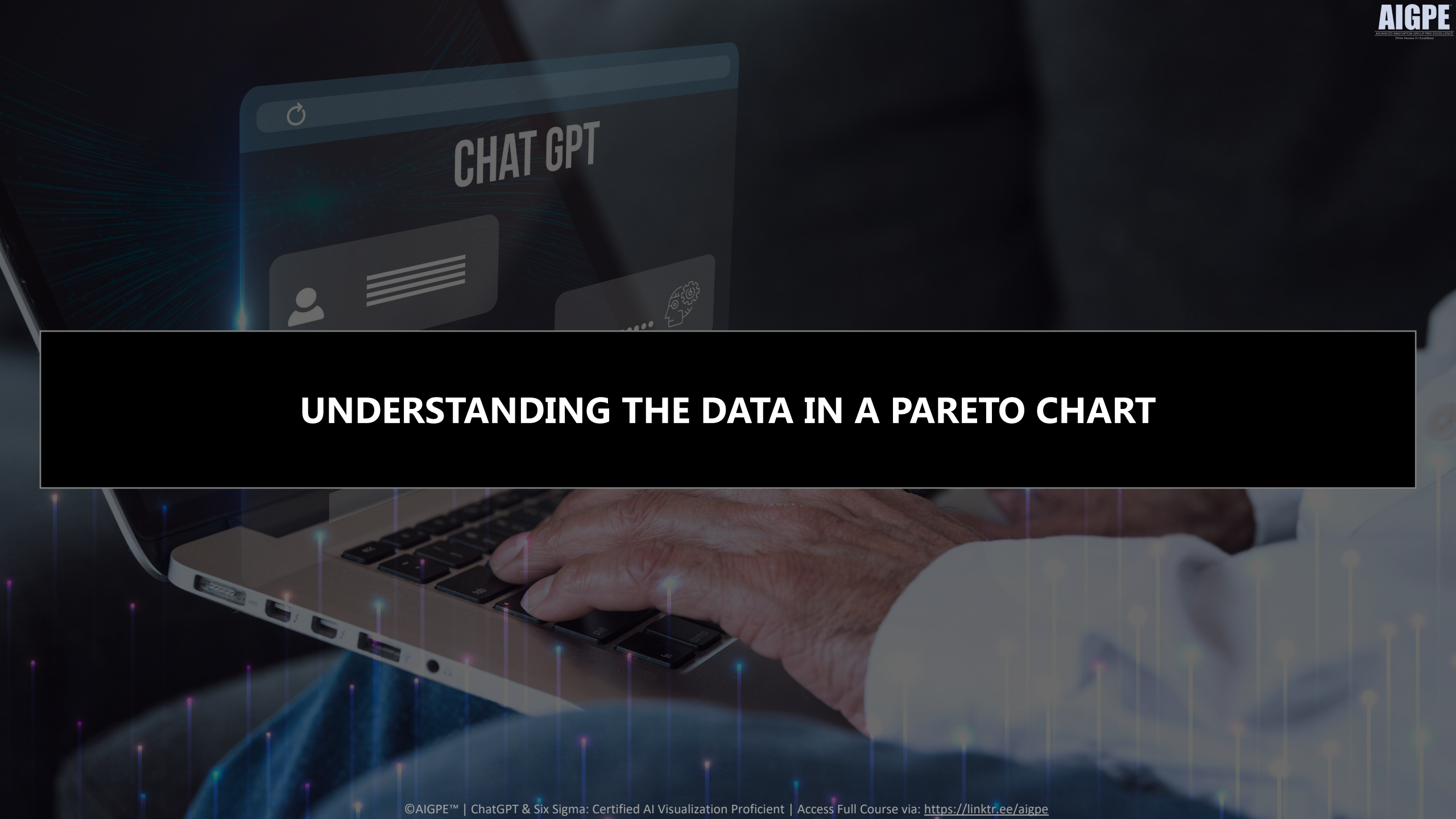
LINE GRAPH

CUMULATIVE PERCENTAGE OF THE TOTAL NO. OF OCCURRENCES OR TOTAL VALUE IS PLOTTED AS A LINE GRAPH

SHOWS THE COLLECTIVE IMPACT OF THE FACTORS





The background image shows a person's hand typing on a laptop keyboard. Overlaid on the laptop screen is a semi-transparent interface for 'CHAT GPT'. The interface includes a refresh icon in the top left, the text 'CHAT GPT' in large letters, and two chat bubbles: one with a person icon and another with a gear icon. The entire scene is set against a dark background with glowing blue and purple light trails and vertical lines of light at the bottom.

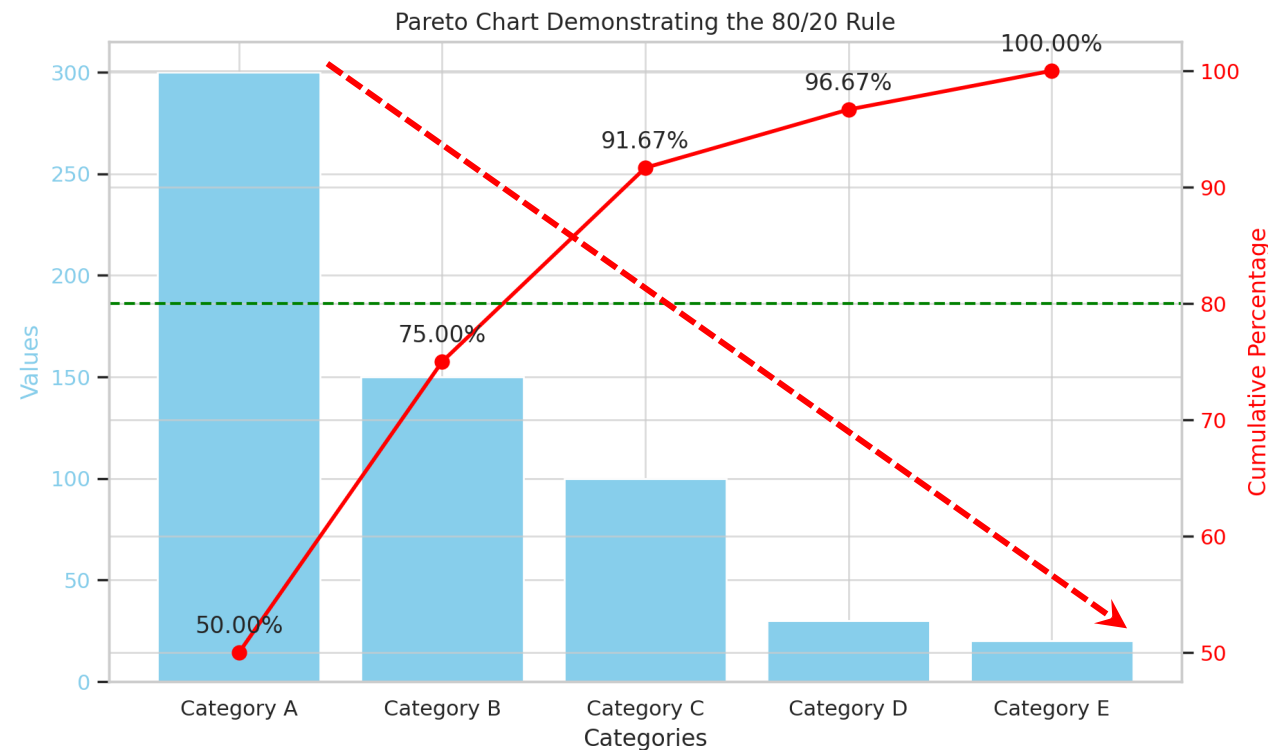
UNDERSTANDING THE DATA IN A PARETO CHART

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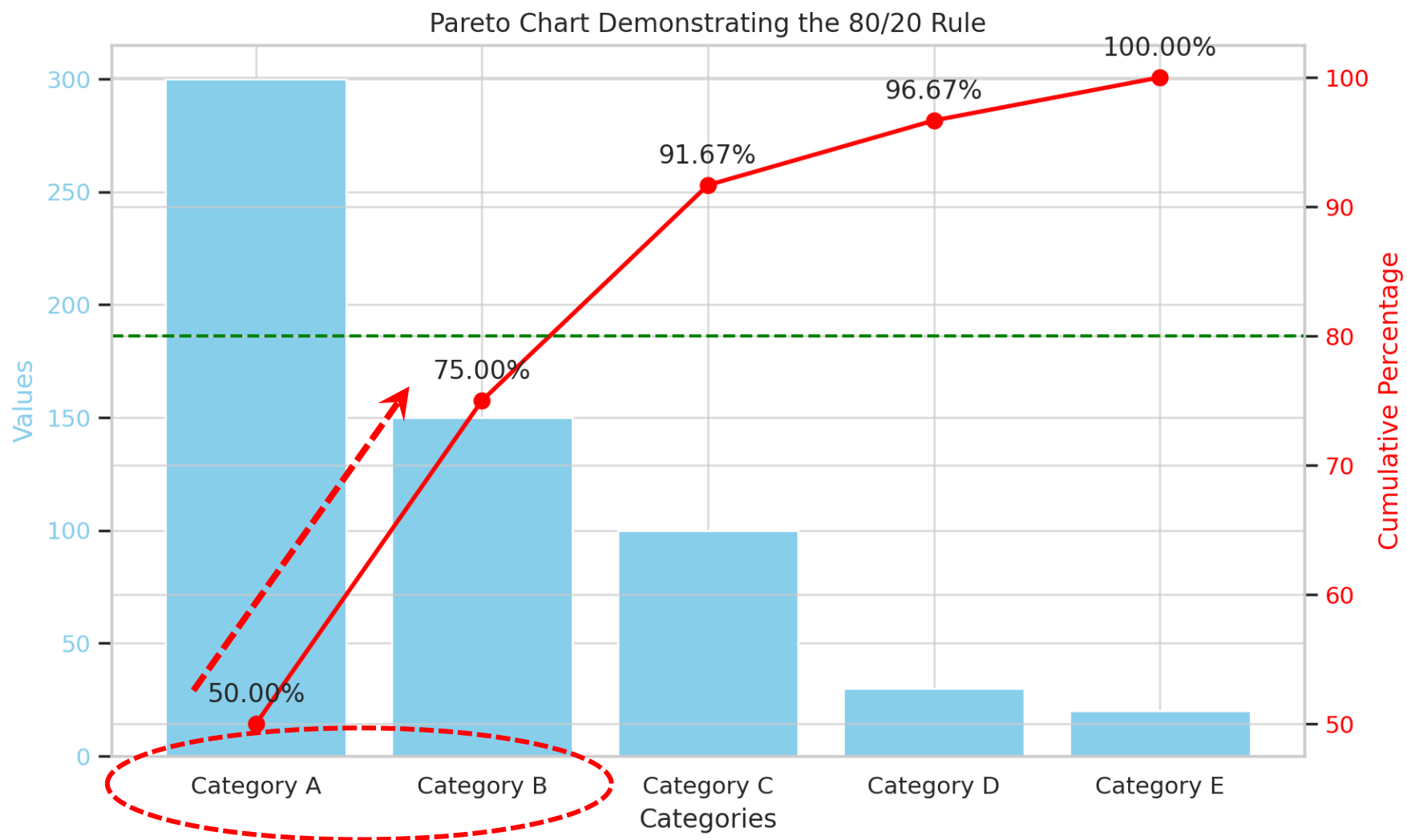
HIGHLIGHTS WHAT'S MOST IMPORTANT IN A PROBLEM OR SITUATION

THE BARS RANK PROBLEMS OR CAUSES FROM THE BIGGEST TO THE SMALLEST

THE HIGHER & LONGER THE BAR, THE BIGGER THE ISSUE



UNDERSTANDING THE DATA IN A PARETO CHART



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